

2026: The year innovation becomes the economy

Date: 2026-01-28

Source: <https://www.franklintempleton.com/articles/2025/equity/2026-the-year-innovation-becomes-the-economy>

Extraction method: selenium

2026: The year innovation becomes the economy

Key takeaways:

Innovation has evolved from being a differentiator to the operating system of the modern economy; it is essential for every business.

AI-driven automation and productivity power the new growth engine of the US economy and support a more balanced and durable expansion.

Growth is stable but uneven across sectors, with gains concentrated among innovation leaders. The message is clear: companies must innovate to compete.

We believe success in this environment requires disciplined, bottom-up analysis to identify where innovation strengthens returns on capital, widens competitive moats, and drives sustainable growth and alpha creation.

Three structural themes shaping 2026

1. The AI productivity flywheel

After years of experimentation, AI and automation are now producing measurable productivity gains in the technology, health care, financial services and industrials sectors. Efficiency improvements create feedback loops that drive faster innovation, greater operational leverage and reinvestment.

This opportunity extends beyond AI platform leaders. Value accrues to companies that apply AI to practical problems?from diagnostics and logistics to industrial design and financial analysis. Competitive advantages will hinge on proprietary data, deep domain expertise, and disciplined capital allocation.

2. The industrial renaissance

AI is transforming the physical economy. Manufacturing, transportation and construction are being redefined through robotics, automation and digital twins. These technologies improve throughput, reduce waste and enhance safety. The leading firms will combine physical scale with digital intelligence?automation providers, controls specialists, and industrial software innovators.

3. The energy evolution

The intelligence economy is profoundly energy-intensive.

Data-center expansion, electrification and the scaling of compute demand are reshaping global energy systems. Meeting these needs is catalyzing investment in grid modernization, energy storage and clean power generation.

We see opportunities across semiconductors, power management, utilities deploying smart grids, and renewables leveraging digital optimization. But energy remains a key constraint and a critical input into our investment thesis for the next phase of AI-driven growth.

CIO perspective: Innovation is the economy

As discussed in this paper, the line between ?tech? and ?non-tech? is blurring. Every company now operates within the digital economy, where AI and data analytics drive competitiveness, profitability and capital efficiency.

The investor challenge is to identify where innovation leads to lasting economic profit. That requires disciplined evaluation of business models, margin structures and balance sheets supported by conviction built on evidence.

We believe active, bottom-up investing is essential to determine where innovation truly enhances returns on invested capital and sustains long-term growth. Innovation may now be the economy, but fundamentals still determine performance.

WHAT ARE THE RISKS?

All investments involve risks, including possible loss of principal.

Equity securities are subject to price fluctuation and possible loss of principal.

Small- and mid-cap stocks involve greater risks and volatility than large-cap stocks.

Investment strategies which incorporate the identification of thematic investment opportunities, and their performance, may be negatively impacted if the investment manager does not correctly identify such opportunities or if the theme develops in an unexpected manner. Focusing investments in the health care, information technology (IT) and/or technology-related industries carries much greater risks of adverse developments and price movements in such industries than a strategy that invests in a wider variety of industries.

Any companies and/or case studies referenced herein are used solely for illustrative purposes; any investment may or may not be currently held by any portfolio advised by Franklin Templeton. The information provided is not a recommendation or individual investment advice for any particular security, strategy, or investment product and is not an indication of the trading intent of any Franklin Templeton managed portfolio.

WF: 7599208

CONTRIBUTORS

Jonathan Curtis

Chief Investment Officer, Portfolio Manager Franklin Equity Group United States

Related Content

The AI productivity boom that no one is talking about

Are investors underestimating AI?

Explore other Franklin Equity Group Insights

Explore other 2026 investment outlooks

RELATED CONTENT

IMPORTANT LEGAL INFORMATION

This material is intended to be of general interest only and should not be construed as individual investment advice or a recommendation or solicitation to buy, sell or hold any security or to adopt any investment strategy. It does not constitute legal or tax advice. This material may not be reproduced, distributed or published without prior written permission from Franklin Templeton.

The views expressed are those of the investment manager and the comments, opinions and analyses are rendered as at publication date and may change without notice. The underlying assumptions and these views are subject to change based on market and other conditions and may differ from other portfolio managers or of the firm as a whole. The information provided in this material is not intended as a complete analysis of every material fact regarding any country, region or market. There is no assurance that any prediction, projection or forecast on the economy, stock market, bond market or the economic trends of the markets will be realized. The value of investments and the income from them can go down as well as up and you may not get back the full amount that you invested. Past performance is not necessarily indicative nor a guarantee of future performance. All investments involve risks, including possible loss of principal.

Any research and analysis contained in this material has been procured by Franklin Templeton for its own purposes and may be acted upon in that connection and, as such, is provided to you incidentally. Data from third party sources may have been used in the preparation of this material and Franklin Templeton ("FT") has not independently verified, validated or audited such data. Although information has been obtained from sources that Franklin Templeton believes to be reliable, no guarantee can be given as to its accuracy and such information may be incomplete or condensed and may be subject to change at any time without notice. The mention of any individual securities should neither constitute nor be construed as a recommendation to purchase, hold or sell any securities, and the information provided regarding such individual securities (if any) is not a sufficient basis upon which to make an investment decision. FT accepts no

liability whatsoever for any loss arising from use of this information and reliance upon the comments, opinions and analyses in the material is at the sole discretion of the user.

Franklin Templeton has environmental, social and governance (ESG) capabilities; however, not all strategies or products for a strategy consider "ESG" as part of their investment process.

Products, services and information may not be available in all jurisdictions and are offered outside the U.S. by other FT affiliates and/or their distributors as local laws and regulation permits. Please consult your own financial professional or Franklin Templeton institutional contact for further information on availability of products and services in your jurisdiction.

Issued in the U.S. by Franklin Templeton, One Franklin Parkway, San Mateo, California 94403-1906, (800) DIAL BEN/342-5236, franklintempleton.com. Investments are not FDIC insured; may lose value; and are not bank guaranteed.

You need Adobe Acrobat Reader to view and print PDF documents. Download a free version from Adobe's website.

CFA® and Chartered Financial Analyst® are trademarks owned by CFA Institute.